money have for the most part been paid for or sold; weak holdings have been nearly eliminated, and the Liberty issues may now be regarded as largely in the hands of real investors. This greatly improved technical position should result in a substantial advance in price, in response to any buying activity.

A further advantage to be gained from the proposed exchange lies in the exemption of Liberty bonds (up to certain limits) from *surtax* as well as normal tax; whereas, the Victory notes are exempt only from normal tax.

For these two important reasons—prospects of much greater price appreciation and superior tax exemption—we recommend that holdings of Victory notes be now transferred into an equivalent amount of Liberty Fourth $4^1/_4$s.

We shall be glad to supply further information regarding this suggestion and in particular to discuss with individual investors the current saving in taxes to be gained from the exchange.

NOTE 69

The principal tenets of the Dow theory are:

1. There are three types of fluctuations manifested by the averages:

a. *Primary movements*, which are broad, basic trends of bull or bear variety, extending over periods of less than a year to several years. Correct determination of such movements is the major objective of Dow theorists.

b. *Secondary movements*, lasting from three weeks to several months but running counter to the primary trend.

c. *Day-to-day fluctuations* in either direction, of minor character and of slight significance except in determining whether or not "lines" are being formed. They must be charted and studied, however, since they make up the longer term movements.

2. The industrial and railroad averages must corroborate each other if reliable inferences are to be drawn concerning the nature of the movement underway. Although, generally speaking, a bull market is one in which succeeding highs in each average exceed the preceding highs, and successive lows are higher than the preceding lows (and conversely for bear markets), each type of major movement is subject to interruption by countermovements of a secondary character. These secondary movements are supposed generally to retrace from a third to two-thirds of the primary price change in the averages since the preceding secondary movement terminated. It is apparent that the problem of determining from day to day or week to week whether a movement apparently underway is a secondary one or a reversal of a major trend presents a difficult task.